will differ in some ways. The current one will take longer, fall further, and recover less, if at all. So use this chart as a guide to the immediate future, but not a map of the next ten years.

The Next Best Count

If the 1980-1981 low is not wave I but wave (A), then the 1993 peak is wave (B). The current bear market will be wave (C). By this count, there is just one major debt crisis ahead, not several.

There is a slim possibility that the rally from 1981 is wave A of a larger wave (II), as depicted in Figure 16-10. This less bearish outlook still requires bond prices to fall to or below their 1981 lows. One could imagine bond prices returning to 1993 levels after the deflation has run its course and confidence returns for a decade or so. Thereafter, wave (III) would carry them far lower in what could be a post-deflation response by government to inflate the currency, probably bottoming with the next Supercycle low in stocks due mid-century. If this count proves correct, bonds at best appear to offer zero net capital appreciation potential from the 1993 peak through the end of wave (II) and will fall substantially in the meantime.

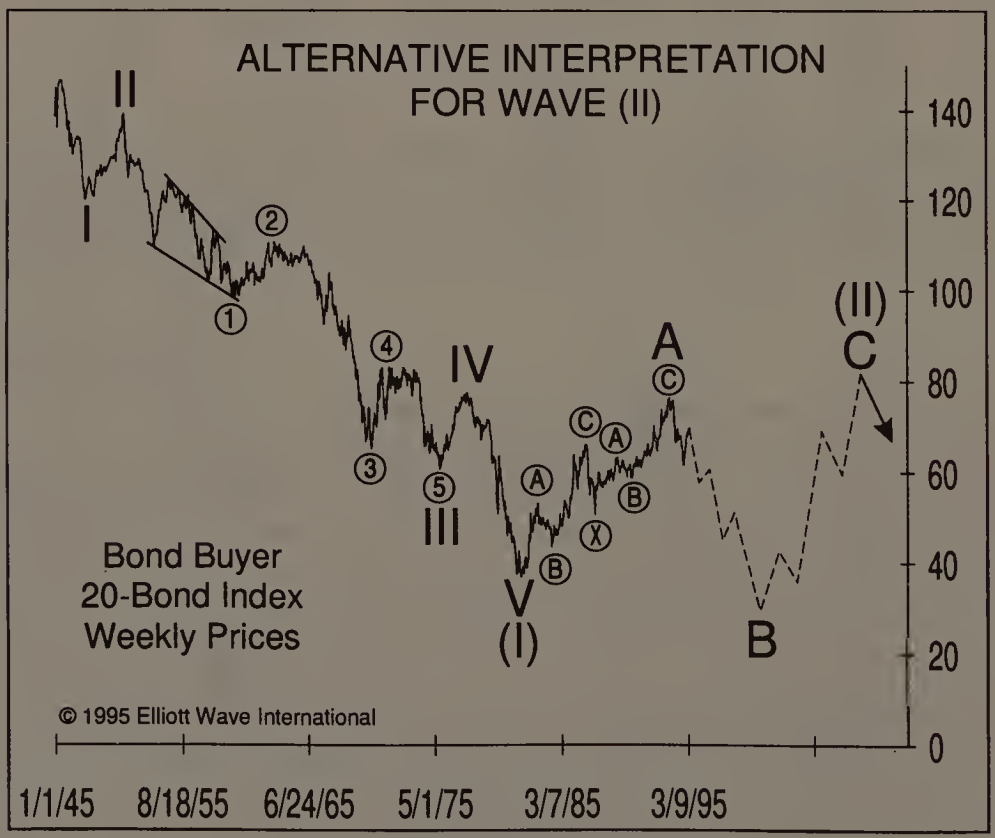

Figure 16-10